

Northwind Outdoor Co.

Quarterly Profit & Loss Statement — Q3 FY2025

Period: 1 July 2025 – 30 September 2025. All figures in USD. This statement is unaudited and prepared on an accrual basis.

Executive Summary

Northwind Outdoor delivered **\$12,840,200** in net revenue during Q3, up 11.4% year-over-year. Gross margin expanded to 42.4% from 40.8% in Q3 of the prior year, driven by stronger Ecommerce mix and reduced freight surcharges. Operating expenses were held flat. EBITDA finished the quarter at **\$2,235,200** (17.4% of revenue). Net income was **\$1,684,400** at an effective tax rate of 24.6%.

The Ecommerce channel contributed 38% of Q3 net revenue, the highest share on record. Wholesale grew 6% YoY but absorbed a one-time inventory write-down of \$180,000 related to discontinued Sleeping Bag SKUs.

Category	Line item	July	August	September	Q3 Total
Revenue	Retail Stores — net sales	1,140,000	1,205,000	1,298,000	3,643,000
Revenue	Wholesale — net sales	1,580,000	1,614,000	1,677,000	4,871,000
Revenue	Ecommerce — net sales	1,482,000	1,553,000	1,614,000	4,649,000
Revenue	Returns & allowances	(106,200)	(101,400)	(115,200)	(322,800)
Revenue	Net revenue	4,095,800	4,270,600	4,473,800	12,840,200
COGS	Product cost — Retail	623,000	663,000	713,000	1,999,000
COGS	Product cost — Wholesale	912,000	932,000	968,000	2,812,000
COGS	Product cost — Ecommerce	803,000	840,000	875,000	2,518,000
COGS	Inbound freight	47,000	49,000	51,000	147,000
COGS	Inventory write-down (one-off)	0	180,000	0	180,000

COGS	Outbound fulfillment	83,000	87,000	92,000	262,000
COGS	Returns processing	12,000	14,000	15,400	41,400
COGS	Total COGS	2,480,000	2,765,000	2,714,400	7,959,400
Gross	Gross profit	1,615,800	1,505,600	1,759,400	4,880,800
Gross	Gross margin %	39.4%	35.3%	39.3%	38.0%
OpEx	Salaries & wages	746,000	758,000	771,000	2,275,000
OpEx	Rent & occupancy	148,000	148,000	148,000	444,000
OpEx	Marketing & advertising	131,000	142,000	168,000	441,000
OpEx	Technology & software	52,000	54,000	58,000	164,000

OpEx	Professional fees	31,000	18,000	24,000	73,000
OpEx	Travel	12,000	10,400	11,600	34,000
OpEx	Insurance	18,300	18,300	18,300	54,900
OpEx	Other operating expenses	27,400	25,900	27,400	80,700
OpEx	Total operating expenses	1,165,700	1,174,600	1,226,300	3,566,600
EBITDA	EBITDA	450,100	331,000	533,100	1,314,200
EBITDA	EBITDA margin %	11.0%	7.8%	11.9%	10.2%
Below	Depreciation & amortization	(78,000)	(78,000)	(78,000)	(234,000)
Below	Interest expense	(36,000)	(36,000)	(36,000)	(108,000)
Below	Other income / (expense)	4,200	6,100	1,900	12,200
Below	Pre-tax income	340,300	223,100	421,000	984,400
Below	Income tax expense (24.6%)	(83,700)	(54,900)	(103,500)	(242,100)

Notes & Assumptions

1. The inventory write-down of \$180,000 recorded in August relates to discontinued Sleeping Bag SKUs SLP-1100 and SLP-1102.
2. Marketing spend increased 28% in September in support of the Fall campaign launch; ROI tracking is reported separately.
3. Effective tax rate for Q3 was 24.6% (24.0% in Q2).